

funds are needed for unplanned contingencies. However, partial annuitization combined with investments can be an effective way to create true liquidity on the balance sheet.

Income annuities represent only a small percentage of total annuity sales. Countless types of annuities can be used for many different purposes. Deferred fixed annuities can act as an alternative to CDs or savings accounts; investment-only deferred variable annuities can provide a source of tax-deferred savings during the accumulation phase; and fixed indexed annuities (a newer name for equity indexed annuities), immediate variable annuities, and deferred variable annuities with guarantee riders can all provide various combinations of guaranteed income, liquidity, and upside growth potential. Related nonannuity investment options include the ability to have an income guarantee rider on an investment portfolio and the use of financial derivatives to generate the same types of outcomes as some types of annuities on your own.

Social Security

Social Security is the ultimate form of an income annuity, and it is generally one of the largest assets on the retirement balance sheet. For a high-earning couple, the present value of lifetime Social Security benefits could exceed \$1 million. Social Security provides protection from inflation, longevity, and sequence-of-returns risk, as well as providing survivor benefits. Retirement benefits can begin as early as age sixty-two, but the benefits grow through age seventy if you wait. If you view lost benefits from ages sixty-two to sixty-nine as a premium to buy a larger annuity starting at seventy, delaying Social Security can be viewed as the best annuity money can buy. It offers a better deal than any commercial providers. Because Social Security income continues automatically over time, it also provides protections for cognitive decline. The only risk Social Security does not help manage is spending shock, as you cannot borrow against your future benefits to obtain greater liquidity today.